

Profit Niti – AI Report (2025-04-01 / 2025-11-30)

Last Month KPI Data (November 2025)



Sales
866,750

-57% Last month 2,012,136



Gross Margin
866,750

-57% Last month 2,012,136



Operating Profit
132,244

-94% Last month 2,332,623



Break Even Sales
734,506

329% Last month -320,487



Accounts Receivable
3,955,588

-28% Last month 5,512,204



Accounts Payable
615,119

-53% Last month 1,302,419



Working Capital
3,340,470

-21% Last month 4,209,785



Closing Stock
0

0% Last month 0



Bs Category
53 - SHAKY

-20% Last month 66 - STEADY



Impact Of Decisions
255,735

143% Last month -592,760

1. Big Picture — How the Business Looks Right Now

The business has shown significant volatility over the period from April to November 2025. While the company started with a strong Total Equity of ₹1.22 crore in April, it experienced a sharp decline in May before recovering to ₹1.05 crore by November. Sales performance was highly erratic, peaking at ₹20.12 lakh in October but dropping to ₹4.40 lakh in June, indicating inconsistent revenue streams. The company maintains a very strong liquidity position with a Current Ratio of 11.78 in November, though cash flows from operations have been negative in several months.

GREEN FLAG BOX — What's Working Well

- Exceptional profitability in October with a Net Profit % of 118.71% and a Return on Capital of 331.44%.
- Strong liquidity and solvency, evidenced by a high Current Ratio of 11.78 in November and minimal debt (Debt to Equity of 0.01).
- Substantial growth in Reserve & Surplus, increasing from ₹45.75 lakh in April to ₹90.82 lakh in November.

RED FLAG BOX — What Needs Attention

- Extreme volatility in monthly profits, including a significant loss of ₹3.60 lakh in September after a high-profit month.
- Poor working capital management, with Accounts Receivable Days worsening from 64.35 days in April to 138.81 days in November.
- Negative cash flows from operating activities in multiple months, including a large outflow of ₹25.04 lakh in October.

Strategic Advice:

Prioritize stabilizing revenue and tightening credit control to reduce debtor days and improve cash flow consistency. The strong equity base should be leveraged to invest in systems that smooth out operational volatility and support sustainable growth.

2. Profit Power — The Earning Engine

Your business shows a strong profit trend, with net profit increasing from ₹7.69 lakh in April to ₹29.83 lakh in November. However, performance was volatile, with a significant loss of ₹3.60 lakh in September and a

peak profit of ₹23.89 lakh in October. The gross margin remained at 100% throughout the period, as COGS was zero.

Overhead expenses are a key driver of profit volatility. They were as low as ₹0.16 lakh (1.56% of sales) in May but spiked to ₹10.54 lakh (171.65% of sales) in September, causing the loss. Employee benefit expenses showed major fluctuations, from a negative ₹0.48 lakh in May to ₹9.09 lakh in September.

Sales revenue also varied significantly, from a low of ₹4.40 lakh in June to a high of ₹20.12 lakh in October. This sales volatility, combined with unstable overheads, is the primary reason for the inconsistent monthly profits. The operating profit margin reflects this, ranging from -71.65% in September to 115.93% in October.

Strategic Advice:

Stabilise your overhead costs, particularly employee expenses, to protect profitability during lower sales months. Focus on converting the high-profit months like October into a consistent trend by analysing the drivers behind those sales peaks.

3. Cash Flow Quality — Profit vs Real Cash

Your business generated a total profit of ₹55.04 lakh over the period. However, the net cash flow from operating activities was negative ₹24.77 lakh, indicating a significant gap between reported profits and actual cash generation.

This gap is primarily due to working capital blockages. Debtor days increased from 64 days in April to 139 days in November, tying up cash in receivables. Vendor payments also fluctuated, with accounts payable at ₹6.15 lakh in November, down from ₹14.11 lakh in August.

Cash flow from operations was volatile, ranging from ₹-25.04 lakh in October to ₹15.14 lakh in June. The business relied on financing activities, which injected ₹10.63 crore in April, to manage cash needs, highlighting a dependency on external funding for liquidity.

Strategic Advice:

Immediate focus is required to reduce the debtor collection period and improve working capital cycles to convert profits into cash. Strengthen credit control and negotiate better payment terms with vendors to stabilize operational cash flows.

4. Cash Management — Daily Cash Rhythm

Your debtor collection period (Accounts Receivable Days) has increased from 64.35 days in April to 138.81 days in November. This indicates a significant slowdown in collecting payments from customers, which ties up working capital.

There is no inventory holding (0 Inventory Days), which is efficient. However, the payable days data is unavailable (0 days), making the full cash conversion cycle difficult to assess. The working capital days have also risen from 64.35 to 138.81 days.

Your operating cash flow has been volatile, with large outflows in April (₹-23.30 lakh) and October (₹-25.04 lakh), but a positive inflow of ₹8.69 lakh in November. The cash balance ended at ₹55.25 lakh in November, recovering from a low of ₹0.99 lakh in May.

Strategic Advice:

Prioritise reducing the debtor collection period to improve cash inflows. Implement stricter credit control and follow-up procedures. Since operating cash flow is inconsistent, maintain a higher cash buffer to manage periods of negative cash flow from operations.

5. Growth Investments — Where Money Is Going

Your business has invested in fixed assets, which grew from ₹17.24 lakh in April to ₹17.82 lakh in November. Non-current investments, however, turned negative from May onwards, ending at ₹-3,431. The Return on Capital Employed shows high volatility, from 88.65% in April to 20.62% in November, with a peak of 331.44% in October.

Capital expenditure on 'Other Capital' has fluctuated, starting at ₹33.47 lakh in April and ending at ₹17.90 lakh in November. The Asset Turnover ratio indicates how efficiently assets generate sales, varying from 1.74 in April to 1.35 in November, with a high of 2.86 in October.

Strategic Advice:

The negative non-current investment position requires review. Consider reallocating these funds into productive fixed assets or working capital to improve returns. The high Return on Capital in October (331.44%) is exceptional; analyze the drivers of that month to replicate success. Monitor the Asset Turnover to ensure capital investments consistently translate into higher sales.

6. Funding Story — How Growth Is Being Financed

Your business is primarily funded by equity. Total Equity was ₹1.22 crore in April and increased to ₹1.05 crore by November. Debt is minimal, with Unsecured Long-term Borrowings stable at ₹77,143 for most months, rising to ₹1.25 lakh from September.

The Debt to Equity ratio remained very low, at 0.01 for most of the period. This indicates a strong, equity-funded balance sheet with no reliance on secured borrowings. Total Funding, which represents net operating assets, was ₹56.76 lakh in April and ₹51.30 lakh in November.

Operating Cash Flow was volatile, starting at -₹17.01 lakh in April and improving to ₹10.02 lakh in November. Cash Flow to Debt was negative in several months but improved to 8.04 in November, showing better cash generation relative to your small debt burden.

Strategic Advice:

Your capital structure is very conservative with minimal debt. This is low-risk but may limit growth leverage. Consider exploring low-cost, short-term credit facilities to smooth out cash flow volatility, especially given the negative operating cash flows seen in some months. The strong equity base provides excellent collateral to negotiate favourable terms.

7. Balance Sheet Health — Financial Fitness

Your total equity stood at ₹1.05 crore in November, recovering from a low of ₹50.42 lakh in May. The Reserve & Surplus grew from ₹45.75 lakh in April to ₹90.82 lakh in November, strengthening the owner's capital base.

Your current ratio is strong at 11.78 in November, indicating ample liquidity to cover short-term obligations. The debt-to-equity ratio remains very low at 0.01, showing minimal reliance on external borrowings for funding.

Working capital days increased from 64.35 days in April to 138.81 days in November, primarily due to higher debtor days. This indicates a longer cash conversion cycle, tying up funds in operations.

Strategic Advice:

Focus on reducing the accounts receivable collection period to improve cash flow. Consider deploying the strong cash reserves for strategic investments to enhance returns on your healthy equity base.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If debtor days are reduced from 138.81 days in November to 64.35 days (as in April), the working capital requirement could drop by ₹3.34 crore, boosting net profit margins from 34.42%.
- **Scenario B - Cash Focus:** If vendor payments are extended to manage the cash conversion cycle, the negative operating cash flow of ₹8.69 lakh in November could be turned positive, improving the cash flow to debt ratio from 8.04.
- **Scenario C - Balanced:** A combined strategy of reducing debtor days and controlling overheads (84.74% of sales in November) could stabilize monthly profits, preventing a repeat of September's loss of ₹3.60 lakh and improving the return on equity from 33.99%.

****Industry Context:**** Others - Manufacturing - Manufacturing Industries

9. Operational Insight Engine — Ground-Level Trends

Sales Performance: Monthly sales have been volatile, ranging from a low of ₹4.40 lakh in June to a high of ₹20.12 lakh in October. The trend shows a significant decline from April's ₹12.36 lakh to November's ₹8.67 lakh.

Customer Credit & Collections: Debtor days have increased significantly, from 64 days in April to 139 days in November. This indicates a major slowdown in collections from customers over the period.

Vendor Management: Accounts payable stood at ₹6.15 lakh in November, down from ₹14.11 lakh in August. The company has reduced its outstanding dues to vendors in recent months.

Inventory & Production: The data shows no inventory (closing stock of ₹0) across all months, which is unusual for a manufacturing unit and may indicate a make-to-order or just-in-time model.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Improve debtor collection to reduce Accounts Receivable Days from 138.81 days (Nov) towards 64.35 days (Apr).	Increase Cash and Bank Balances from ₹55.25 lakh (Nov).	Strengthen liquidity and reduce reliance on external financing.
31-60	Profit	Stabilise monthly Net Profit after volatile performance (₹2.39 crore in Oct to ₹2.98 lakh in Nov). Control Employee Benefit Expenses.	Achieve consistent monthly Net Profit above ₹3 lakh.	Improve profitability consistency and build stronger Reserve & Surplus.
61-90	Growth	Leverage high Return on Equity (33.99% in Nov) to reinvest in operations. Focus on sustaining Sales growth post-peak (₹20.12 lakh in Oct).	Increase monthly Sales towards ₹12.36 lakh (Apr level) from ₹8.67 lakh (Nov).	Drive sustainable revenue growth and improve asset utilisation (Asset Turnover).